Internet Archive

IRS Form 990 Financial Analysis -- Fiscal Year 2024

Organization Snapshot

EIN	94-3242767	**Tax Status**	501(c)(3)
Founded	1996	**Location**	San Francisco, CA
Filing Period	Jan-Dec 2024	**Filed**	Sept 19, 2025
Gross Receipts	$36,242,247	**Employees**	0 (uses staffing foundation)
Principal Officer	Scott Fong (Secretary)	**Board Chair**	Brewster Kahle

Key Financial Indicators (FY 2024)

Metric	FY 2023	FY 2024	Change
Total Revenue	$23,678,074	**$26,831,969**	+13.3%
Total Expenses	$32,674,667	**$23,501,138**	-28.1%
Net Income (Loss)	($8,996,593)	**$3,330,831**	Turnaround
Total Assets	$16,585,711	**$10,704,807**	-35.5%
Total Liabilities	$20,115,729	**$9,751,199**	-51.5%
Net Assets	($3,530,018)	**$953,608**	Positive!

After a brutal FY 2023 that saw a $9M net loss and negative net assets, Internet Archive staged a meaningful recovery in FY 2024 -- swinging to a $3.3M surplus and returning to positive net assets for the first time in two years.

Revenue Analysis

Source	Amount	% of Total	vs. FY 2023
Contributions & Grants	$18,287,478	68.2%	+13.8%
Government Grants	$99,482	0.4%	--
All Other Contributions	$18,187,996	67.8%	--
Noncash Contributions	$1,152,795	4.3%	--
Program Service Revenue	$7,376,394	27.5%	+1.0%
Archive Fees	$628,358	2.3%	--
Book Scanning	$2,105,043	7.8%	--

Source	Amount	% of Total	vs. FY 2023
Fees for Service	$4,642,993	17.3%	--
Investment Income	$405,747	1.5%	Huge jump
Net Gain on Asset Sales	$220,983	0.8%	+$190K
Other Revenue	$541,367	2.0%	+97.2%
Total Revenue	**$26,831,969**	**100%**	**+13.3%**

Donor dependency is the dominant story. Nearly 68% of all revenue comes from contributions and grants -- overwhelmingly from private donors (government grants totaled under $100K). Program service revenue remained essentially flat at $7.4M. Investment income spiked from near-zero to $406K, suggesting they moved some cash into interest-bearing accounts. The $9.6M in gross asset sales (with $221K net gain) likely reflects portfolio rebalancing of publicly traded securities.

Expense Analysis

Category	Amount	% of Total	Notes
Grants Paid	$808,396	3.4%	$541K domestic, $267K foreign
Legal Fees	$2,187,111	9.3%	Copyright litigation
Accounting Fees	$23,368	0.1%	
Other Professional Fees (11g)	$15,918,498	67.7%	Incl. staffing via OSF
IT Expenses	$839,138	3.6%	
Occupancy	$1,228,055	5.2%	Rent for facilities
Depreciation	$479,924	2.0%	Aging equipment base
Administrative	$1,175,952	5.0%	
Outreach	$448,421	1.9%	
Misc + Taxes	$392,275	1.7%	
Total Expenses	**$23,501,138**	**100%**	**Down 28% YoY**

The massive expense reduction -- from $32.7M to $23.5M -- was the primary driver of IA's recovery. The 'Other Professional Fees' line ($15.9M) is the elephant in the room: this is overwhelmingly payments to **Open Staffing Foundation (OSF)**, the related staffing entity that employs IA's workforce. IA reports **zero direct employees**; all staff are technically contracted through OSF. This structure is unusual for a nonprofit of this size.

Legal fees of $2.2M remain elevated, likely reflecting the ongoing copyright litigation (Hachette Book Group v. Internet Archive). This has been a multi-year financial drain.

Functional Expense Breakdown

Function	Amount	% of Total
Program Services	$20,121,045	85.6%
Management & General	$2,068,754	8.8%
Fundraising	$1,311,339	5.6%
Total	**$23,501,138**	**100%**

The functional split is healthy for a nonprofit: 85.6% goes to program services, with modest overhead (8.8%) and fundraising (5.6%). These ratios are well within acceptable ranges and suggest efficient mission-focused spending.

Balance Sheet Analysis

	BOY (Jan 1, 2024)	EOY (Dec 31, 2024)	Change
ASSETS			
Cash (non-interest-bearing)	$4,225,442	$4,226,414	Flat
Savings & Temp Investments	$9,165,433	$2,947,385	-67.8%
Pledges & Grants Receivable	$14,019	$25,000	+78.3%
Accounts Receivable	$1,320,027	$1,623,948	+23.0%
Prepaid Expenses	$55,635	$812,370	+1,360%
Property & Equipment (net)	$1,050,334	$583,700	-44.4%
Publicly Traded Securities	$754,821	$485,990	-35.6%
Total Assets	**$16,585,711**	**$10,704,807**	**-35.5%**
LIABILITIES			
Accounts Payable & Accrued	$2,075,729	$2,451,199	+18.1%
Other Liabilities	$18,040,000	$7,300,000	-59.5%
Total Liabilities	**$20,115,729**	**$9,751,199**	**-51.5%**
NET ASSETS	**($3,530,018)**	**$953,608**	**Recovery**

The balance sheet tells a dramatic story of deleveraging. Total liabilities were slashed by over $10M, primarily through repayment of **related-party loans**:

Loan	Amount
Related Party Loan - OLR (Open Library of Richmond)	$3,500,000
Related Party Loan - OSF (Open Staffing Foundation)	$3,800,000
Total Related Party Loans (EOY)	**$7,300,000**

At the start of 2024, 'Other Liabilities' were $18.04M. By year-end they were $7.3M -- a reduction of $10.7M. The remaining $7.3M is entirely related-party loans from affiliated organizations. This is significant: it means IA's operations are partly financed by loans from its own satellite entities. The $6.2M drop in savings/investments likely funded much of this debt repayment.

Organizational Structure & Related Entities

Internet Archive's corporate structure is more complex than a typical nonprofit. Understanding it is key to understanding the finances:

Entity	Relationship	Role	Key Financials
Open Staffing Foundation (OSF)	Related Tax-Exempt Org	Employs all IA staff	$13M in fees from IA; $3.8M loan to IA

Entity	Relationship	Role	Key Financials
Open Library of Richmond Inc	Related Tax-Exempt Org	Owns real estate / property	$44K rent to IA; $4.3M loan to IA
Gatherings for Good LLC	Disregarded Entity (owned 100%)	Events / venue	$275K income; $303K assets

The staffing structure is the most notable feature. IA reports **zero employees** and zero salary expense, because all staff are employed through Open Staffing Foundation, which then bills IA $13M/year for services. The top 5 highest-paid individuals (earning $218K-$246K via OSF) include the Director of Philanthropy, the Director of the Wayback Machine, and senior engineers. Board Chair Brewster Kahle takes no compensation.

Multi-Year Financial Trends (2018-2024)

Year	Revenue	Expenses	Net Income	Net Assets
2018	$20.3M	$18.7M	$1.6M	$3.4M
2019	$36.7M	$37.3M	($0.5M)	$2.8M
2020	$21.8M	$20.0M	$1.8M	$4.7M
2021	$29.4M	$25.3M	$4.1M	$3.1M
2022	$30.5M	$25.8M	$4.7M	$4.2M
2023	$23.7M	$32.7M	($9.0M)	($3.5M)
2024	$26.8M	$23.5M	$3.3M	$1.0M

The trend line reveals a volatile organization. Revenue has swung between $18M and $37M over seven years. The 2019 spike ($36.7M) likely included large one-time donations. The 2023 crisis was driven by a massive expense spike -- probably legal costs from the Hachette v. Internet Archive copyright lawsuit (decided against IA in 2023) and/or a one-time restructuring charge. The 2024 recovery is real but fragile.

Financial Health Assessment

Strengths

+ **Returned to surplus.** A $3.3M net income after a $9M loss is a strong turnaround.

+ **Massive deleveraging.** Liabilities cut in half, from $20.1M to $9.8M. Net assets swung from negative $3.5M to positive $953K.

+ **High program spending ratio.** 85.6% of expenses go to programs -- well above the 75% benchmark nonprofits typically target.

+ **No executive compensation excesses.** Board Chair Brewster Kahle takes zero pay. Top staff compensation ($218K-$246K in San Francisco) is reasonable for the tech sector.

+ **Diversified program revenue.** $7.4M from fee-for-service activities provides a meaningful earned-revenue cushion.

+ **Independently audited.** Financial statements are audited by an independent firm (Fontanello Duffield & Otake LLP).

+ **No debt to third parties.** All $7.3M in loans are from related entities, not banks. No secured mortgages or unsecured notes.

Concerns & Risks

- **Razor-thin net assets.** Only $953K in net assets against $23.5M in annual expenses means IA has roughly 15 days of operating reserves. Industry best practice is 3-6 months.

- **Heavy donor dependency.** 68% of revenue from contributions is risky. A downturn in major-donor giving could be catastrophic.

- **$7.3M in related-party loans.** While these are from affiliated entities (not banks), they represent significant internal leverage. If OSF or OLR demand repayment, IA would be in trouble.

- **Legal exposure.** $2.2M in legal fees suggests ongoing litigation risk. The Hachette copyright case and its ramifications may continue to generate costs.

- **No conflict-of-interest policy.** The 990 reports IA lacks a written conflict-of-interest policy -- a governance gap for an organization this size.

- **No independent CEO compensation review.** The form reports that neither CEO/executive nor other officer compensation is reviewed by independent persons with comparability data.

- **Unusual staffing structure.** Zero direct employees with $13M flowing to a related staffing entity creates opacity. While legally permissible, it complicates financial transparency.

- **Declining asset base.** Total assets dropped 35% from $16.6M to $10.7M. Savings were drawn down from $9.2M to $2.9M to pay off debt.

- **Aging infrastructure.** Equipment has a cost basis of $11.6M but $11.0M in accumulated depreciation -- 95% depreciated. Book value is only $584K. Major capital expenditures may be needed soon.

The Bottom Line

Internet Archive's finances are stabilizing but fragile.

The FY 2024 results represent a genuine recovery from a crisis year. IA cut expenses dramatically, grew contributions, and swung from deeply negative net assets back to barely positive territory. That's commendable. But the underlying financial position remains precarious:

- **Operating reserves** are dangerously thin (~15 days vs. recommended 90-180 days).
- **Revenue concentration risk** is high, with 68% from donations.
- **Related-party loans** of $7.3M create internal structural risk.
- **Equipment** is 95% depreciated, suggesting deferred capital investment.
- **Legal costs** remain elevated and may persist.
- **Governance gaps** (no conflict-of-interest policy, no independent comp review) are notable for an org of this stature.

Internet Archive is one of the most important cultural institutions on the internet, preserving the digital record of human knowledge. Its mission is invaluable. Financially, however, it is operating with almost no margin for error. One bad year of fundraising, an adverse legal judgment, or a call on those related-party loans could quickly tip it back into negative net assets.

Rating: Cautiously Optimistic. The trajectory is positive, but IA needs to build real reserves and reduce its dependence on large donations to achieve true financial stability.

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